Fraudulent Misrepresentation

English contract law | Study guide | Dishonesty, inducement and remedies

A false pre-contract statement may induce a deal. To establish fraud, examine the maker's state of mind when the statement was made. The action for damages at common law is the tort of *deceit*.

1. Derry v Peek (1889) | Why the investor's deceit claim failed

A tramway company's prospectus stated that it had the right to use steam power. Consent from the Board of Trade was still needed and was later refused. Peek subscribed for shares and sued the directors. The House of Lords accepted that the directors honestly believed the statement, having treated approval as a formality. The inaccurate prospectus was therefore insufficient to establish deceit.

2. Lord Herschell's three routes to proving fraud

Knowledge of falsity. The maker knows the statement is false. Example: a seller says a certificate has been issued after receiving a notice that it was refused.

Absence of honest belief. The maker asserts a fact they do not believe to be true, even if they lack certain knowledge that it is false.

Reckless indifference. The maker asserts the fact with indifference to whether it is true. Lord Herschell treated this as evidence of an absence of genuine belief.

3. Carelessness and dishonesty

Failure to check a source may be careless. Whether that failure supports fraud depends on what it reveals about genuine belief. The implausibility of the statement and deliberate avoidance of obvious warnings may support an inference of dishonesty. An honestly held belief can defeat deceit even if it was unreasonable.

4. Prove the state of mind at the relevant time

The claimant must prove fraud on the balance of probabilities. Compare the wording of the statement with contemporaneous emails, reports and records. A warning actually read before the statement may be powerful evidence. A report first received after signature does little on its own to show what the maker knew earlier.

> Legal English | **Deceit** is the civil wrong. **To make a statement recklessly** in this context means speaking with indifference to whether the statement is true.

Reliance, Proof and Remedies

1. Did the statement induce the transaction?

Show what the recipient understood and how the representation influenced the decision to contract. Other motives, such as price, can also play a part. Under *Hayward v Zurich*, a recipient's doubts may be relevant and can coexist with actual inducement. For damages in deceit, also prove loss caused by acting on the statement.

2. Rescission | Unwinding the transaction

A contract induced by fraudulent misrepresentation is generally voidable. Rescission aims to undo it and restore the parties as far as practicable. Affirmation after discovery of the fraud or intervening rights of an innocent third party may bar rescission. A valid claim in deceit can still support damages where rescission is unavailable.

3. Damages in deceit | Loss directly caused

Under *Smith New Court*, damages may cover loss directly flowing from the transaction even if it was unforeseeable. Give credit for benefits received and apply the rules on mitigation. The aim is to put the claimant in the position they would have occupied without the deceit. Take care to avoid recovering the same loss twice if rescission is also granted.

4. If fraud is unproved | Statutory routes

Under section 2(1) of the Misrepresentation Act 1967, a contracting party may owe damages for an inducing misrepresentation causing loss, subject to the statutory conditions. The maker must establish both actual belief and reasonable grounds for that belief up to formation to make out the statutory defence. Under section 2(2), the court may keep a contract in force and award damages instead of rescission for a non-fraudulent misrepresentation if the right to rescind still exists and the statutory discretion is exercised. Even an honestly and reasonably held mistake may support rescission if the other requirements are met.

> Exam method | Decide separately whether there was an inducing misrepresentation, whether the evidence establishes dishonesty and which remedies follow. A weak fraud case can still raise a substantial section 2(1) question.

Worked Problem and Authorities

The refrigeration unit

A supplier sells a used industrial refrigeration unit to Aurora Foods for £80,000. Its sales director emails Aurora that a required operating certificate has already been issued. No certificate had been issued. Before sending the email, the director opened a refusal notice and wrote internally that the sale should proceed without mentioning it. Aurora's purchase approval cites the certificate and the price. The unit as acquired was worth £50,000 at the date of purchase. What claims and remedies should Aurora consider?

Model analysis

Statement and state of mind. The email asserts an existing fact. The refusal notice and the director's reply support knowledge of falsity when the statement was made. Sending the email during negotiations supports an inference that the director meant Aurora to act on it. The approval email supports actual reliance, even though price also mattered.

Remedies. Aurora can consider rescission, subject to any bars, and damages in deceit for proven loss. If Aurora retains the unit and claims damages, the £30,000 difference is a starting point for measuring loss on these facts. Other directly caused losses must be proved, and benefits and mitigation accounted for.

> Variation | The director genuinely relied on an outdated internal list and never saw the refusal. An honest mistake can defeat deceit. Ask under section 2(1) whether the supplier can show the list gave reasonable grounds for the belief, and that the belief continued until contracting.

Cases and legislation

Derry v Peek (1889) 14 App Cas 337, 374 | Fraud test

Hayward v Zurich Insurance Co plc [2016] UKSC 48 | Actual inducement

Re B (Children) [2008] UKHL 35 | Civil standard of proof

Smith New Court Securities v Scrimgeour Vickers [1997] AC 254 | Damages in deceit

Misrepresentation Act 1967 ss 1–2 | Rescission and damages

Salt v Stratstone Specialist Ltd [2015] EWCA Civ 745 | Damages in lieu